Saving and investing for a pension

A pension is a savings plan or investment designed to provide a retirement income, based on how much has been saved and how well the investment performs.

How it works

Some countries pay retirees a state pension based on taxpayers' contributions. However, a state pension only provides enough money for a very basic standard of living, and many countries encourage people to save money while they are working to provide them with additional income for a more comfortable retirement.

Saving into a private pension is the most common way of doing this. A pension is a long-term savings plan in which the money is invested in shares, bonds, or other types of assets with the aim of providing a return on the money invested. The more money saved while working, and the better the investments perform, the more money there will be to live on in retirement.

NEED TO KNOW

- **State pension** Pension payout determined by the taxpayer's regular contributions.
- **Defined contribution** Pension payout determined by the amount paid in and the investment fund's performance.
- **Defined benefit** Pension payout from an employer determined by final or average salary.
- **IRAs** Individuals contribute and pay tax upon withdrawal.

Early investment for maximum return

The earlier a saver starts saving for a pension, the better. Firstly, the saver will need to save less each month to reach their desired sum for retirement. Secondly, some employers also contribute to employees' pension savings, while some governments offer tax advantages on pension savings. Thirdly, investments will have more time to ride out the ups and downs of the capital markets, and savers will benefit from more interest as it accrues over the years.